NATIONAL LOCAL GOVERNMENT FINANCE COMMITTEE

LOCAL AUTHORITIES' FINANCIAL MANAGEMENT SANCTIONS GUIDELINES

MAY, 2023

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Foreword

Local Government Authorities (LGAs) in Malawi are established by the Constitution (CAPXIV:146:1) amogst its functions:- 'the promotion of infrastructure and economic developmnet, through the formulation and execution of local developmnet plans and the encouragemnet of business enterpirse (Sec. 146:2a). Further powers and functions are confered on them by the Local Governmnet Act, 1998. The Government of Malawi started implementing the Decentralization Policy in the year 2001. Amongst Councils functions include:

(a) To make policy and decisions on local governance and development for the district;
(b) To promote infrastructural and economic development.
(c) To mobilise resources within and outside the district
(e) To make by-laws which facilitate its functions;

LGAs operate through a number of legal and regualtory framework including the Constitution (1994), Local Governmnet Act (1998), Public Audit Act (2003) – PAA; the revised Public Finance Management Act (2022) – PFMA; and Public Procuremnet and Asset Disposal Act (2017) – PPDA. Capter XIV. Sec. 149 of the Constitution of Malawi establishes the National Local Government Finance Committee (NLGFC) as a financial regulator for Local Government Authorities on financial matters and a driver for fiscal decentralisation. Apart from the Republican Constitution further powers and functions are conferred on it by the Local Government Act (1998), (Sec. 45) and Sec. 44(4) covering Budgeting, Local Government Accounting and Financial Management and Fiscal allocation, transfers and revenue mobilisation.

Arising from the implementation of the Decentralisation Policy, LGA and the Constitution and in line with the revised Public Finance Management Act 2022, and revised Local Authority Accounting Procedures Manual it has necessitated the development of these Local Authorities Financial Management Sanctions Guidelines for ease of reference by stakeholders particularly councils in ensuring financial prudence.

The District Commissioners/ Chief Executive Officers as Controlling Officers should ensure that these guidelines are clearly communicated to all members/ stakeholders at the Local Authority.

Commissioner Richard Chapweteka
Chairperson
NLGFC Board

Preface

The Financial Management Sanctions Guidelines for Local Authorities are in compliance with the Public Finance Management Act, 2022, Public Procurement Act 2003, Public Audit Act, 2003, Local Government Act, 1998, various Treasury Instructions and Circulars from the Office of President and Cabinet (OPC), Ministry of Finance, Ministry of Local Government, National Local Government Finance Committee and the Office of Director of Public Procurement (ODPP). The guidelines are further in line with the revised Local Authorities Accounting and Financial Management Manual 2022, international accounting best practices and commercial/ quasi- nature of LGAs as well as recent trends in the fiscal decentralisation reforms and public financial management to ensure that it reflects current accounting and financial management practices on the ground.

The basis of maintaining proper accounting records is enshrined in S.99 (1) (PFMA, 2022) to keep proper accounts and records of its transactions and financial position that accounting records must be kept intact for a period of not less than 7years S.99 (2) (PFMA, 2022). In addition, S.100 (PFMA, 2022) enforces the need for the preparation of financial reports, financial statements and compliance to accounting procedures and generally accepted accounting practice.

Thus, these guidelines not only provide management direction, action and awareness but they also enhance prudence, accountability and responsibility in the management of public funds and assets. The guidelines also provide checks and balances on the duty bearers and call for action and disciple where financial provisions have been infringed.

Further, the guidelines streamline and remind controlling officers and all officers of the council on their roles, mandate, responsibility, liability and functions as regards pubic financial management and general conduct of business.

For any queries, suggestions and improvements should be directed to the Executive Director, National Local Government Finance Committee (NLGFC), P. O. Box 31162, Capital City, Lilongwe 3, Malawi. Email: ed@nlgfc.gov.mw

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1.0 Background

The adoption of the Decentralisation Policy by Government in 1998 and the subsequent enactment of the Local Government Act in the same year provided the legal framework for the implementation of the Decentralisation process in Malawi. And as Fiscal Decentralisation reform processes take root, substantial financial resources continue to be transferred from Central Government and Development Partners to the Local Authorities. The increased transfer of financial resources has called for a greater level of accountability and transparency in the management of the funds by the Local Authorities.

The National Local Government Finance Committee (NLGFC) is a quasi-autonomous body established under Section 149 of the Constitution of the Republic of Malawi. It is mandated to act as a financial regulator of the Local Authorities in Malawi in the Fiscal Decentralisation space.

In pursuance of the legal mandate of a financial regulator of the Local Authorities, Section 55 of the Local Government Act, 1998 gives the NLGFC the power to disallow and to surcharge any item of expenditure or loss incurred and suffered by the Council which is contrary to the provisions of the Act. This provision is meant to strengthen the mandate of the NLGFC in ensuring that Local Authorities manage public funds in a manner that serves the best interest of the local populace.

Additionally, the revised Public Finance Management Act 2022, and revised Local Authority Accounting Procedures Manual has necessitated the development of Local Authority Sanctions Management Guidelines for ease of reference by stakeholders particularly councils.

2.0 Objectives

While the Local Government Act, 1998 gives powers of surcharge to the NLGFC, it does not however give specific guidelines as to how the financial sanctions and surcharges shall be determined. These guidelines therefore seek to provide specific guidelines as to how the NLGFC shall enforce its legal mandate of sanctions and surcharging instances of financial mismanagement that may be experienced by the Council.

The development of specific sanctions guidelines shall therefore assist in the enforcement and attainment of accountability and transparency by the Local Authorities in the management of public resources. Further, officers in the Local Authorities will have a specific understanding of the nature of penalties that surround particular cases of financial mismanagement.

3.0 Legal framework

In developing these guidelines, emphasis has been made to ensure that the guidelines are in tune with the various legal enactments that govern the management of public resources. These legal enactments include:

a) The Constitution of the Republic of Malawi;
b) The Public Finance Management Act (PFMA), 2003; amended 2022
c) The Public Procurement Act (PPA), 2017;
d) The Public Audit Act (PAA), 2003;
e) The Local Government Act (LGA), 1998;
f) The Corrupt Practices Act, 1996.

3.1 Local Governments (Councils)

Constitution Sec. 146 establishes Local Government Authorities and their functions follows:

1. There shall be local government authorities which shall have such powers as are vested in them by this Constitution and an Act of Parliament.
2. Local government authorities shall be responsible for the representation of the people over whom they have jurisdiction, for their welfare and shall have responsibility for;
    a. the promotion of infrastructural and economic development, through the formulation and execution of local development plans and the encouragement of business enterprises;
    b. the presentation to central government authorities of local development plans and the promotion of the awareness of local issues to national government;

c. the consolidation and promotion of local democratic institutions and democratic participation; and d. such other functions, as may be prescribed by any Act of Parliament.

Further, Sec. 147 (3) of the Constitution - There shall be, in respect of each local government authority, such administrative personnel, subordinate to local government officers, as shall be required to execute and administer the lawful resolutions and policies of those officers.

3.2 Functions and Powers of Council

3.2.1 LGA Sec 6(1) Functions of the Council

According to LGA Sec 6(1) Functions of the Council are:

a. To make policy and decisions on local governance and the Assembly development for the local government area;
b. To consolidate and promote local democratic institutions and democratic participation;
c. To promote infrastructural and economic development through the formulation, approval and execution of district development plans;
d. To mobilize resources within the local government area for governance and development;
e. To maintain peace and security in the local government area in conjunction with the Malawi Police Service;
f. To make by-laws for the good governance of the local government area;
g. To appoint, develop, promote and discipline its staff;
h. To co-operate with other Assemblies in order to learn from their experiences and exchange ideas;

3.2.2 LGA Sec 24 (I)Powers of the Council (General)

An Assembly shall have power to;

a. Subject to section 49, borrow or lend money;
b. Acquire or dispose of any property or rights which is calculated to facilitate, or is conducive or incidental to, the discharge of any of the functions of the Assembly.

The Assembly shall not by virtue of this section raise money, whether by means of rates or borrowing, or lend money except in accordance with the Finance and Audit Act.

4.0 National Local Government Finance Committee (NLGFC)

Section 149 of the Constitution establishes the National Local Government Finance Committee. It states that;

1. There shall be a National Local Government Finance Committee which shall hear submissions from each and every local government authority in respect of estimates of expenditure and requests for special disbursements and shall have such other powers and functions as may be conferred on it by the Constitution or an Act of Parliament.
2. The National Local Government Finance Committee shall have the power to –
    a. receive all estimates of revenue and all projected budgets of all local government authorities;
    b. supervise and audit accounts of local government authorities, in accordance with any Act of Parliament, Assembly, subject to the recommendations of the Auditor General;
    c. make recommendations relating to the distribution of funds allocated to local government authorities, and vary the amount payable from time to time and area to area according to, and with sole consideration of, economic, geographic and demographic variables;
    d. prepare a consolidated budget for all local government authorities and estimates after consultation with the Treasury, which shall be presented to the National Assembly by the Minister responsible for Local Government before the commencement of each financial year; and
    e. make application to that Minister for supplementary funds where necessary.

These guidelines also consider the provisions of financial regulations that govern the Local Authorities accounting and financial management system which includes; Treasury Instructions, Local Authorities Accounting and Financial Management Manual, Government Circulars, NLGFC Circulars to Local Authorities.

5.0 Roles and Responsibilities of Controlling Officers and Other Council Officers on the management of public funds and assets

"Controlling officer" means a person who is— (a) the head or principal officer in-charge of a Ministry, department or any Government agency; or (b) charged with a duty to, or actually collect, receive, disburse or deal, in any way, with public money or charged with the purchase, receipt, custody, or disposal of, or the accounting for, public resources or public securities; (PFMA, 2022 Sec. 1)

"Officer" means an employee of the Public Service of Malawi and includes an officer on permanent and pensionable contract and an officer on fixed term contract; (PFMA, 2022 Sec. 2)

"Public asset" means any property, real, tangible or intangible, including shares and proprietary rights, owned by the Government or any public body; (PFMA, 2022 Sec. 2)

"Public resources" include public money, asset, property, stores and investment that belong to, or is held by or on behalf of the Government or a public body;

"Records" means information recorded and kept by any means, and includes all books, accounts, rolls, files, vouchers, receipts, cheques, records, registers, papers and other documents relating to accounting operations and practice, kept or maintained in electronic or any other format used to maintain or store information;

"Statutory body" means— (a) a body of persons, whether corporate or unincorporated, other than the reserve bank of Malawi, established by any written law; and (b) a local authority established under the Local Government act;

5.1 Roles and Responsibilities of Controlling Officers and Other Council Officers

i. **(PFMA, Sec. 14.1)** states that **a Controlling Officer** shall, with respect to the controlling officer's institution, ensure that; –

   a. The PFMA is act is complied with;
   b. advice on financial management is provided to the responsible Minister;

c. adequate information on financial allocation and utilization, revenue collection, and acquisition, management and disposal of assets is provided to the responsible Minister;
d. all accounts and records relating to the functions and operations of the institution are properly maintained;

ii. **LGA Sec 11. 3 Functions of the Controlling Officer (DC/ CEO)**

The Chief Executive Officer of the Assembly shall, subject to the general or special direction of the Assembly, be responsible for;

a. implementing the resolutions of the Assembly;
b. the day-to-day performance of the executive and administrative functions of the Assembly;
c. the supervision of the departments of the Assembly; and (d) the proper management and discipline of the staff of the Assembly.

iii **Monitoring of Council decisions (DC/CEO)**

The Chief Executive Officer/ District Commissioner of the Council if at any time notices/ monitors that any proposal, decision or omission by the Assembly or by any committee, assembly sub-committee or officer of the Council has given rise to 'or is likely to give rise to or decisions that would give rise to (a) a contravention of this Act or any other written laws, Standing Order, by-law or regulation; (b) any maladministration or injustice, to prepare a report to the Assembly with respect to that proposal, decision or omission.

iv. **Every officer's duty of care shall include;**

a. comply with this act in so far as it is applicable to that officer;
b. ensure that public resources within the officer's area of responsibility are used in a way which is lawful, economic, efficient, effective, transparent and accountable;
c. ensure that adequate arrangements are made for the proper use, custody, safeguard and maintenance of public assets and stores which are in the custody or under the control of the officer;
d. safeguard the financial interests of the Government at all times; and
e. comply with applicable financial management and internal control systems.

v. **Performance, management plan and budget**

A Chief Executive officer **(Controlling Officer – DC/ CEO) *** of a local authority shall, within three months before the end of a financial year, prepare and submit to the secretary to the treasury, through the National Local Government Finance Committee, an annual budget for the following financial year.

6.0 Accounts and records

The Council shall, not later than ninety days before Annual and the commencement of the financial year next ensuing, prepare supplementary detailed estimates of its revenue and expenditure for such financial estimates' year, and shall submit such estimates to the Local Government Finance Committee which may either approve the estimates as submitted or disallow such estimates in whole or in part or refer such estimates back to the Assembly for further consideration.

The Council may in any year prepare and approve supplementary estimates of revenue and expenditure and such estimates shall be submitted for approval to the Local Government Finance Committee which may approve or disallow the estimates either wholly or in part. The Council **shall not, except with the approval of** the Local Government Finance Committee, incur any expenditure which has not been approved but may, with the approval of the Local Government Finance Committee, make reallocations of any sum contained in such approved estimates.

i, The Council shall keep proper accounts and records of its transactions and financial position, and shall;

a. ensure that all payments are correctly made and properly authorized;
b. maintain adequate internal control over its assets and other assets in its custody; ensure that liabilities are incurred in accordance with generally accepted accounting principles; and
c. keep the accounts and records in such a way as to facilitate the preparation of financial statements required under section 100 and enable such accounts to be properly audited.

ii, The Council shall retain all the accounts and records for at least seven years after

the completion of the transactions to which they relate.

iii. The accounts and records required under subsection (I) shall be kept in accordance with generally accepted accounting practices.

(a) The Council shall keep proper books of accounts and other records in relation to its transactions and financial position and shall balance its accounts for that year and produce statements of final accounts at the end of each financial year.

(b) The Council shall submit the final accounts/ financial statements to the Local Government Finance Committee which shall forward a copy to the Auditor General

6.1 Reports and financial statements

i, Each council shall prepare and submit to the NLGFC, quarterly financial and non-financial performance reports that are consistent with the performance management plan and budgets by the 10th of each month.

6.2 Financial Statements and Audits

The accounts of the Assembly shall be audited by the Auditor General or Audit of an auditor appointed by him. The Auditor General shall give his report of the audited accounts to- (a) the Minister; (b) the Local Government Finance Committee and (c) the Assembly.

The Assembly shall have an Internal Audit Department.

6.3 Power of Minister on financial matters

Section 56 of LGA provides that the Minister may, after consultation with the Minister responsible for finance issue written instructions, not inconsistent with provisions of financial instructions for the better control and efficient management of the finances of the Assembly.

6.4 Access to records and information

i. The Council shall provide and keep minutes" of proceedings of a meeting of the Council and shall be open to the inspection of any person and any such person may make a copy of or extract from the minutes.

ii. The accounts or abstracts of accounts of the Council shall be open to the inspection of any member of the Council or any other person and any such

member or other person may make a copy of the extract from the accounts or abstracts of accounts therefrom, and copies thereof shall be delivered to any such person on payment of a reasonable sum for each copy.

iii. The Council shall arrange for the publications within its area, of information related to local government, and shall make or assist in making arrangements whereby the public may readily obtain, either at premises specially maintained for the purpose or otherwise, information concerning the. services available within the area of the Council.

iv. At the end of each financial year the Assembly shall publish an annual report of its work and of the local government affairs of-its area for the preceding financial year, and a copy of such report shall be;

(a) delivered to the Minister;

(b) deposited at every public Office of the Assembly and be made available for inspection free of charge by any interested person during normal hours of business; and

(c) supplied to any persons or to the press or other news media upon- application on payment of such fee, if any, as the Assembly may prescribe.

7.0 Sanctions, processes, procedures, offences and discipline,

7.1 Areas on which sanctions/ surcharges shall apply

In reference to LGA (1998) and PFMA (2022) sanctions or surcharge, shall be applied on areas of the Local Authority accounting and Financial Management system which shall include (but not limited) to the following:

(a) Revenue and cash;
(b) Management of commercial undertakings and investments;
(c) Expenditure;
(d) Procurement of goods and services;
(e) Payroll and wages;
(f) Fixed assets and stores;
(g) Staff advances and receivables;
(h) Payables/ liabilities;
(i) Management of Central Government transfers;
(j) Donor and development funds;
(k) Agency and other designated funds.

7.2 Procedures, processes and determination of offences

7.2.1 The LGA Sec. 55(1) states that after considering reports of the Auditor General, the Local Government Finance Committee shall have power to disallow any item of expenditure which is contrary to the LGA and to surcharge: -

i. the amount of any expenditure disallowed on the person responsible for incurring or authorizing that expenditure;

ii. any sum which has not been duly brought into account by the person by whom the sum ought to have been brought into account or

iii. the amount of any - loss or deficiency 'Upon any person by whose negligence or misconduct the loss or deficiency has been incurred.

7.2.2 It is worth noting that when coming up with appropriate sanctions to be applied the following shall be taken into consideration:

i. Frequency of a misconduct

ii. Seriousness of a misconduct

iii. Previous disciplinary record of the officer involved

7.2.3 In all cases unless otherwise stated or provided for by a recommendation by a Government Agent(s)/ body the following measures/ steps/ processes shall be undertaken: -

i. Where failure is for not maintaining books of accounts and reporting timely for 3months – a summon by NLGFC Management of the controlling officer and the Head of/ senior officer responsible for finance. If it happens for more than 3months summon by the Board.

ii. Where the controlling officer or Head of/ senior officer responsible for finance refuses/ fails to account for public funds – the Board shall recommend for interdiction/ suspension with pay pending an investigation/ audit by relevant body/ entity.

iii. Where 7.2.1(ii) is committed the NLGFC management shall within 30days institute a preliminary enquiry/ review and report to the Board at its next meeting for appropriate action.

iv. Where a report by NLGFC management establishes a minor misconduct, it shall refer the matter to the NLGFC Board for appropriate decision/ action which shall include but not limited to: suspension/ interdiction; a refund; report to

appropriate entity (Secretary to the Treasury; Ministry of Local Government; Local Government Service Commission; National Audit Office; Ombudsman; Anti-Corruption Bureau; the Police; National Construction and Industry Council (NCIC); any donor partners etc.) for further action including but not limited to investigation/ prosecution;

v. For avoidance of doubt rules of natural justice shall apply where a party and parties must be heard first and an independent body shall be involved to investigate the matter and make recommendation(s) for further action.

7.3 A guide on nature of offences and respective sanctions/disciplinary action

Table 1: Nature of Offences and Respective sanctions/disciplinary action

SN	Nature of malpractice	Sanction/disciplinary action
A	**Financial loss, theft, abuse etc.**	
1	Loss of revenue of the Council due to negligence or misconduct of responsible officer e.g. delayed or non-issuance of bills or invoices to Assembly clients	The amount of potential revenue lost/ or lost shall be surcharged on the responsible officer.
2	a. Theft and use of revenue collected for personal gain; b. Theft and misappropriation of funds;	The amount that was due to the Council/ or misappropriated shall be surcharged on the officer; The matter shall be reported to relevant offices for possible criminal prosecution in respect of theft by a public officer.
3	Utilisation of revenue at source before banking	The DC/CEO, as Controlling Officer or any officer involved shall be recommended to LASCOM, through the Ministry of Local Government for appropriate disciplinary action based on applicable regulations.
4	Failure to bring on charge and account for any sums and unused sums drawn;	The officer shall be surcharged the amount unaccounted for. If the surcharged amount is not paid back within 30 days of the surcharge action, the officer shall be referred for criminal prosecution for theft by public servant
6	Altering and doctoring of accounting documents	The officer shall be recommended for immediate suspension; The case shall be referred to relevant agencies for possible criminal prosecution
7	Advance of stock or cash to officers or Council Members using undue influence	The concerned officers or Members shall be referred to relevant agencies for criminal prosecution for possible abuse of office for their behavior; The value of stock or cash drawn shall be surcharged on the drawing officer

	Nature of malpractice	Sanction/disciplinary action
8	The use of Council funds and assets for personal gains to conceal a misappropriation.	The amount that was due to the Council shall be surcharged on the officer; The officer shall be reported to relevant offices for possible criminal prosecution for theft of public funds
9	a. Loss of asset, cash or stock due to officer's negligence b. Theft and misappropriation of stocks and stores by an officer c. Use of official position to authorise fixed assets and stores board off or write in contravention of stipulated board off and write off procedures.	The value of stock or cash lost shall be recovered from the officer responsible for the negligence The officer shall be reported to relevant offices for possible criminal prosecution for theft of public funds
10	a. Use of official influence to acquire an interest in a Council's venture b. Use of undue influence or position to incur a liability or commitment for the Council without proper procedures. c. Irregular authorisation or use of undue influence and position to obtain or write off an advance from the Council. d. Failure to effect Staff advance in accordance with terms of the advance or debt granted	The officer shall be recommended for suspension; The officer or Member shall be prosecuted for abuse of office and powers The amount of staff advance shall become immediately recoverable from the authorising officer
11	Diversion of investment interest or earnings to personal accounts	The amount of interest or earnings shall be surcharged on the officer; The officer shall be reported to relevant offices for possible criminal prosecution for theft of public funds.
12	Investment of Council funds, Donor and Development funds in interest earning accounts or investments for personal benefit or without proper authority.	The officers shall refund the council the gain/ benefit If the investment turns into a loss, the officers concerned shall refund and make good the whole sum lost and invested.

		The authorising officer the officer involved shall be recommended for appropriate disciplinary action; Where the investment gave rise to a personal gain, the concerned officer(s) shall be referred for criminal prosecution.
	Nature of malpractice	**Sanction/disciplinary action**
13	Overdrawing of sums from one fund due to poor record keeping	The Director of Finance and officers responsible shall be liable to disciplinary action including warning and suspension as the case may be.
14	Authorization of drawings from council funds, Donor and Development funds for unrelated and unapproved purposes e.g. internal borrowings without approvals from relevant offices.	The authorising and approving officer shall be recommended for appropriate disciplinary action including warning and suspension
15	Incurring of expenditure outside the approved budget	The District Commissioner or Chief Executive and the officers concerned shall be liable to disciplinary action as spelt out in S110 of the PFMA, 2022
14	Ineligible and disallowable expenditures e.g. dual payments (subsistence allowance claims, invoices etc.,) irregularly drawn sitting allowances, activity/ purchases etc.	The asset or amount declared ineligible shall be recovered from the officer or officers responsible for the negligence. The authorising and approving officer shall be recommended for appropriate disciplinary action including warning and suspension
15	Authorisation of cheque drawings without duly authorised payment vouchers	The authorising, approving and all concerned officers shall be recommended for appropriate disciplinary action to LASCOM or otherwise
B	**Procurement malpractices**	**Sanction/disciplinary action**
1	Authorisation of the purchase of goods and services outside. Without involvement of the IPDC; Authorisation of payments that violate the stipulated procurement methods and guidelines; e.g. purchases without supporting quotations, procurement without tendering, etc.	The authorising officer shall be recommended to relevant agencies for appropriate disciplinary action including suspension

	Nature of malpractice	Sanction/disciplinary action
2	Supply of goods and services to the Council by an officer/Member in a manner that contravenes the provisions of the PPDA, LGA and CPA; e.g. non-disclosure of interest	The officer's/Member's procurement contract with the Council shall be immediately cancelled if not executed; The officer/Member shall be referred for criminal prosecution in line with the provisions of the Public Procurement and Asset Disposal Act, 2017 and the Corrupt Practices Act, 1996.
3	Use of personal and official position to influence the choice of suppliers of goods and services to the Council; Use of inside privileged procurement information for personal or third-party advantage.	The officer shall be recommended to relevant agencies for appropriate disciplinary action; The officer/Member responsible shall be prosecuted for abuse of office and powers
4	Authorizing full payment for goods and services not supplied or partly supplied; Failure to withhold relevant taxes due on supplier's or contractor's payments; Overpayment to suppliers and contractors arising from poor record keeping.	The authorizing and approving officers and all such concerned officers where a full payment for goods and services not supplied or partly supplied shall be surcharged to the full cost of the loss/ sum concerned. In the case of liability for taxes, the Director of Finance as a public officer or officer concerned shall be surcharged a sum of the fines/ penalties that are due to the tax authorities (Taxation Act) In the case of overpayment due to poor record keeping, the Director of Finance or officer concerned as a public officer, shall be surcharged the full sum of overpayment suffered by the council; In either case, the Director of Finance shall be recommended for disciplinary action arising from incompetence and inefficiency.

	Nature of malpractice	Sanction/disciplinary action
C.	Offences on payroll and wages	
1	Loss arising from payments to ghost workers inserted on the payroll;	The amount drawn for ghost workers shall be recovered in full from the officer responsible for the payroll and all officers concerned; The officer shall be recommended for appropriate disciplinary action including suspension and dismissal.
2	Theft or misappropriation of wages and salaries; Failure to account for unclaimed wages and salaries;	The amount misappropriated or unaccounted for shall be recovered in full from the concerned officer; The case shall be referred for criminal prosecution in respect of theft by public servant.
3	Recruitment of employees without proper recruitment procedures	The sum lost by the Council through salary and wages payments shall be recovered in full from the concerned officer; The officer responsible for the recruitment shall be recommended for disciplinary action including suspension

7.4 PFMA - Acts of improper conduct and disciplinary measures

The PFMA Sec 109(4) states that a controlling officer, chief executive officer or an officer engages in improper conduct where the controlling officer, chief executive officer or officer;

(a) fails to comply with the PFMA;
(b) fails to put in place effective systems of risk management, internal controls and
(c) internal audit;
(d) refuses or without reasonable excuse, fails to attend an inspection or inquiry under this act at a time and place required of that person by the Secretary to the Treasury;
(e) over-commits or overspends funds under that person's control;
(f) fails to conform or comply with financial and operational procedures laid down in treasury Instructions or any other applicable guidelines;
(g) undermines any financial management procedures or controls that apply to the public body;
(h) fails to maintain proper accounting records or assets inventories;
(i) fails, without justifiable reason, to pay eligible and approved bills promptly in circumstances where funds for settlement of the bills are provided;
(j) fails to comply with timelines on submission of performance management plans and budgets;

(k) fails to comply with reporting timelines under this act;
(l) fails to implement commitments in annual performance commitment targets;
(m) fails to service a debt obligation;
(n) incurs arrears, without taking necessary precautions to avoid incurrence of the arrears
(o) fails to resolve findings and implement recommendations of internal or external
(p) auditors within the time stipulated by the audit committee or the Secretary to the Treasury;
(q) fails to report to the Secretary to the Treasury any case of apparent waste or extravagance; or
(r) fails, without justifiable reason, to implement recommendations of the Secretary
(s) to the Treasury or audit committee.

7.4.1 A person subject to disciplinary action under this section may be liable to sanctions similar to those under section **110 of the PFMA (2022)**.

7.5 Offences under Section 110 of the PFMA

Subsection (1) of this Act states that any person commits an offence if he;

(a) refuses or fails to produce or submit any information in his possession when required to do so under this act;
(b) issues a local purchase order outside the financial management information system used by the Government;
(c) makes or permits expenditure that is unlawful, unauthorised, irregular or wasteful;
(d) misuses or permits the misuse of any public asset or property which results in the loss of the public asset or property;
(e) contravenes, causes another person to contravene or knowingly permits another person to contravene a provision of this act;
(f) refuses or neglects to pay any public money or trust money into a Fund or account into which it is payable;
(g) expends funds where there is no appropriation permitting such expenditure;
(h) makes any statement or declaration or gives any information, certificate or document required under this act knowing it to be false or misleading;
(i) implements or varies capital investments without approval of the Secretary to The Treasury;
(j) fails to exercise controls over the receipt, custody or utilization of public resources;
(k) conceals or destroys information that is required to be recorded under this act;
(l) alters or obliterates data maintained under this act;
(m) fails to account for assets in that person's custody or under the control of that person;
(n) opens or causes to be opened a bank account for official use in contravention of this act;

(o) does any act or omission for the purpose of procuring for that person or for any other person or organization;
(p) the improper payment of public money or trust money; or
(q) the improper use of public money; or
(r) fails to meet any obligation imposed on that person under this act, commits an offence.

7.6 PFMA Discipline and Sanctions

PFMA Sec 109 (5) a person subject to disciplinary action under this section may be liable to sanctions under section 110. (6)

Disciplinary measures under Section 109 of the PFMA include;

(a) The Secretary to the Treasury shall, where the Secretary to the Treasury has reason to believe that a Controlling Officer has been or may have been in breach of the PFMA, recommend to The Secretary to the President and Cabinet that the controlling officer be suspended from all duties and responsibilities in the public service, in accordance with applicable law, pending investigations, PFMA 109(2).

(b) Where the Secretary to the Treasury has reason to believe that a chief executive officer of a statutory body or state-owned enterprise is engaging in or has engaged in improper conduct within the meaning of subsection, PFMA 109(3)

(c) The Secretary to the Treasury shall refer the matter to the relevant body with recommendation to take appropriate disciplinary measures against the chief executive officer in accordance with the applicable terms and conditions of appointment, PFMA 109(4).

(d) Specific cases of abuse of office and other financial mismanagement practices shall attract disciplinary action as provided for in the Local Government Staff Terms and Conditions and Malawi Public Service Regulations (MPSR).

(e) All cases of theft, corruption, abuse of office and other such related criminal offences shall be reported to appropriate authorities such as Ministry of Local Government, Local Government Service Committee (LASCOM), Ministry of Finance, Secretary to the President and Cabinet, the Police, National Audit, Anti-Corruption Bureau (ACB), National Construction and Industry Council (NCIC) etc. for further investigation, prosecution and action.

7.7 NLGFC Surcharge mandate (LGA Sec. 55 (I))

The NLGFC shall determine cases for summoning, sanctions, discipline and surcharging a controlling officer or council officer(s) for any financial mismanagement or loss or expenditure from its supervisory and regulatory role of the Local Authorities as provided for under Section 149(2)(b) of the Constitution and Section 55 of the Local Government Act, 1998.

After considering the report of the Auditor General, the Local Government Finance Committee shall have power to disallow any item of expenditure which is contrary to this Act and to surcharge: -

(a) the amount of any expenditure disallowed on the person responsible for incurring or authorizing that expenditure;

(b) any sum which has not been duly brought into account by the person by whom the sum ought to have been brought into account or

(c) the amount of any - loss or deficiency 'Upon any person by whose negligence or misconduct the loss or deficiency has been incurred.

(d) The rates/ rates/ number of surcharges shall be as the attached schedule (appendix x) which shall be revised and approved by the Board from time to time.

7.8 Major Misconduct

All cases of recurrence (under Sec. 109(4) and 110) or otherwise stated or provided for by a recommendation by a Government Agent(s)/ entity shall be considered a major misconduct. Therefore, the penalties shall be as follows: -

i. A surcharge or disallow that expenditure as per LGA Sec. 55(1)
ii. Refer the matter to appropriate entity (Secretary to the Treasury; Ministry of Local Government; Local Government Service Commission; National Audit Office; Ombudsman; Anti-Corruption Bureau; the Police; etc.) for further investigation/ prosecution;

7.9 Fine(s)

i. A person who commits an offence under Section 7.2 (as stated above) shall, upon conviction, be liable to a fine of K50,000,000 or the financial gain derived from the offence, whichever is greater, and to imprisonment for twelve years.

ii. Any person who contravenes a provision of the PFMA for which a specific penalty is not provided shall be liable, upon conviction, to a fine of K10,000,000.00 or the financial gain derived from the offence, whichever is greater, and to imprisonment for five years.

7.10 Remedies and or appeal

(a) Any person aggrieved by a disallowance or surcharge made by the Local Government Finance Committee may appeal to the Minister, **LGA Sec. 55 (2)**

(b) Any person aggrieved by a decision of the Minister may apply to the High Court for judicial review, **LGA Sec. 55 (3)**

(c) Any sum surcharged on any person shall be payable to the Assembly within one month of written notification of the surcharge to such person or, in the case of an appeal under subsection (2) or an application under subsection (3), within one month of the decision of the Minister or the High Court if such decision confirms the surcharge, and shall be recoverable as a debt to the Assembly, **LGA Sec. 55 (4)**

8.0 Conclusion

These guidelines may not be conclusive. Where cases of financial mismanagement arise that may not have been provided for in these guidelines, the NLGFC, in exercise of its legal mandate, shall endeavor to provide guidance depending on the circumstances relating to the particular case.

Further, it should be emphasized that it is the responsibility of the District Commissioner/Chief Executive, as Controlling Officers, to ensure that the surcharge and disciplinary provisions in these guidelines are brought to the attention of all officers of the Council.

9.0 Appendixes

Appendix 01: Regulatory framework references

9.1 Definitions and interpretations of key words

i. "Controlling officer" means a person who is— (a) the head or principal officer in-charge of a Ministry, department or any Government agency; or (b) charged with a duty to, or actually collect, receive, disburse or deal, in any way, with public money or charged with the purchase, receipt, custody, or disposal of, or the accounting for, public resources or public securities; (PFMA, 2022 Sec. 1)

ii. "Internal control" means the whole system of controls, financial, administrative or otherwise established by Government in order to carry out Government business in an orderly, effective and efficient manner to achieve Government objectives; (PFMA, 2022 Sec. 1)

iii. "Officer" means an employee of the Public Service of Malawi and includes an officer on permanent and pensionable contract and an officer on fixed term contract; (PFMA, 2022 Sec. 2)

iv. "Over-commitment" means entering into a contract or other financial obligation that cause the funded budget to be exceeded; (PFMA, 2022 Sec. 1)

v. "Public asset" means any property, real, tangible or intangible, including shares and proprietary rights, owned by the Government or any public body; (PFMA, 2022 Sec. 2)

vi. "Public money" includes — (a) all money, other than trust money, received by the Government or a public body, including revenue, donation, grant, loan and other moneys; (b) money raised by any person or body under statutory authority; (c) all bonds, debentures, and any other securities received by, or on account of, or payable to, or belonging to, or deposited with the Government by— (i) any officer of the Government in his official capacity; or (ii) any person on behalf of the Government; "public resources" include public money, asset, property, stores and investment that belong to, or is held by or on behalf of the Government or a public body;

vii. "Public resources" include public money, asset, property, stores and investment that belong to, or is held by or on behalf of the Government or a public body;

viii. "Records" means information recorded and kept by any means, and includes all books, accounts, rolls, files, vouchers, receipts, cheques, records, registers, papers and other documents relating to accounting operations and practice, kept or maintained in electronic or any other format used to maintain or store information;

ix. "Statutory body" means— (a) a body of persons, whether corporate or unincorporated, other than the reserve bank of Malawi, established by any written law; and (b) a local authority established under the Local Government act;

x. "arrears" means all unpaid bills, inclusive of contractual and statutory obligations, after the end of a financial year.

9.2 Roles and Responsibilities of Controlling Officers and Other Council Officers

(PFMA, Sec. 14.1) states that **a Controlling Officer** shall, with respect to the controlling officer's institution, ensure that; –

a. The PFMA is act is complied with;
b. advice on financial management is provided to the responsible Minister;
c. adequate information on financial allocation and utilization, revenue collection, and acquisition, management and disposal of assets is provided to the responsible Minister;
d. all accounts and records relating to the functions and operations of the institution are properly maintained;
e. all necessary precautions are taken to safeguard the collection and custody of public money;
f. all expenditure, is properly authorized and applied to the specific purposes for which it is appropriated;
g. the collection of public money is according to approved plans and estimates; (h) all expenditure is incurred with due regard to economy, efficiency, effectiveness and the avoidance of waste;
h. there is no over-expenditure or over-commitment of funds;

i. all necessary precautions are taken to safeguard public resources;
j. any tax, duty, fee, levy or other charge for which the institution is responsible for collecting under law, is collected **(and remitted) *** promptly and to the fullest extent;
k. any proposal to charge for the supply of goods or services is consistent with the economic and fiscal policy of the Government;
l. any financial information required by any standing committee of the national assembly is submitted to that committee promptly and is accurate;
m. estimates and forecasts in respect of collection and expenditure of public money are prepared in the format specified in treasury Instructions;
n. after the first six months of each financial year and at such other times as required by the Secretary to the Treasury, reports are submitted as specified in treasury Instructions;
o. an effective system of internal controls is developed and maintained;
p. all officers in the institution are aware of their duties and responsibilities under this act;
q. relevant legislation and Government policies which impact on finance management are complied with;
r. outcomes are consistent with those specified in the appropriation act;
s. public resources are employed and managed in an efficient, effective, economic, transparent and responsible manner; and
t. effective and appropriate action is taken against any officer who contravenes or fails to comply with a provision of this act.

9.3 LGA Sec 11. 3 Functions of the Controlling Officer (DC/ CEO)

The Chief Executive Officer of the Assembly shall, subject to the general or special direction of the Assembly, be responsible for;

a. implementing the resolutions of the Assembly;
b. the day-to-day performance of the executive and administrative functions of the Assembly;

c. the supervision of the departments of the Assembly; and (d) the proper management and discipline of the staff of the Assembly.

9.4 LGA Sec 20 (1) Monitoring of Council decisions (DC/CEO)

According to the provisions of this section, It shall be the duty of the Chief Executive Officer of the Council if at any time monitoring of it appears that any proposal, decision or omission by the Assembly or by any committee, assembly sub-committee or officer of the Council has given rise to 'or is likely to give rise to or decisions would give rise to (a) a contravention of this Act or any other written laws, Standing Order, by-law or regulation; (b) any maladministration or injustice, to prepare a report to the Assembly with respect to that proposal, decision or omission.

9.5 (PFMA Sec 16) - states that Every officer shall;

a. comply with this act in so far as it is applicable to that officer;
b. ensure that public resources within the officer's area of responsibility are used in a way which is lawful, economic, efficient, effective, transparent and accountable;
c. ensure that adequate arrangements are made for the proper use, custody, safeguard and maintenance of public assets and stores which are in the custody or under the control of the officer;
d. safeguard the financial interests of the Government at all times; and
e. comply with applicable financial management and internal control systems.

9.6 (PFMA Sec 93.3) - Performance, management plan and budget

A Chief Executive officer **(Controlling Officer – DC/ CEO) *** of a local authority shall, within three months before the end of a financial year, prepare and submit to the secretary to the treasury, through the National Local Government Finance Committee, an annual budget for the following financial year.

9.7 Other Financial Provisions

i. **LGA Sec 47** - The Council shall open and maintain a bank account for all revenues and other Open bank monies raised or received by it under this Act or any other written law. The Council may, subject to the Finance and Audit Act, obtain an advance from a bank by overdraft: Provided that the prior approval of the Council shall be obtained in any case where;

   a. the amount of the overdraft required will exceed one sixth of the previous years' recurrent revenue of the Assembly; and
   b. the overdraft is required for longer than six months. Power to borrow 49. The Council may, subject to the Finance and Audit Act, raise loans within Malawi of such amounts, from such sources, in such manner, for such purposes and upon such conditions as the Minister, in consultation with the Minister responsible for finance, may approve.

ii. **LGA Sec 51 (1)** states that; The Council shall, not later than ninety days before Annual and the commencement of the financial year next ensuing, prepare supplementary detailed estimates of its revenue and expenditure for such financial estimates' year, and shall submit such estimates to the Local Government Finance Committee which may either approve the estimates as submitted or disallow such estimates in whole or in part or refer such estimates back to the Assembly for further consideration. Further (2), states that; The Assembly may in any year prepare and approve supplementary estimates of revenue and expenditure and such estimates shall be submitted for approval to the Local Government Finance Committee which may approve or disallow the estimates either wholly or in part. The Assembly **shall not, except with the approval of** the Local Government Finance Committee, incur any expenditure which has not been approved but may, with the approval of the Local Government Finance Committee, make reallocations of any sum contained in such approved estimates.

9.8 Accounts and records

i. **The PFMA Sec 99 (1)** states that a statutory body and state-owned enterprise shall keep proper accounts and records of its transactions and financial position, and shall;

   a. ensure that all payments are correctly made and properly authorized;
   b. maintain adequate internal control over its assets and other assets in its custody; ensure that liabilities are incurred in accordance with generally accepted accounting principles; and
   c. keep the accounts and records in such a way as to facilitate the preparation of financial statements required under section 100 and enable such accounts to be properly audited.

ii. **Under PFMA Sec 99 (2),** the statutory body and state-owned enterprise shall retain all the accounts and records referred to in subsection (1) for at least seven years after the completion of the transactions to which they relate. Subsection (3) of the same Act provides that the accounts and records required under subsection (I) shall be kept in accordance with generally accepted accounting practices.

iii. **PFMA 99 (1)** Further guides the Assembly shall keep proper books of accounts and other records in relation to its transactions and financial position and shall balance its accounts for that year and produce statements of final accounts at the end of each financial year. The Assembly shall submit the final accounts to the Local Government Finance Committee which shall forward a copy to the Auditor General

iv. **LGA 53 (1) Accounting records** - The Assembly shall keep proper books of accounts and other records Accounts in relation thereto and shall balance its accounts for that year and produce statements of final accounts within six months from the end of each financial year. (2) The Assembly shall submit the final accounts to the Local Government Finance Committee which shall forward a copy to the Auditor General

9.9 Reports and financial statements

i, **PFMA Sec 100 (1)** states that each statutory body or state-owned enterprise shall prepare and submit to the Secretary to the Treasury, quarterly financial and non-

financial performance reports that are consistent with the performance management plan submitted under section 93 and the format prescribed by the Secretary to the Treasury. Subsection (2) guides that the statutory body or state-owned enterprise shall, not later than 30th June each year, prepare and submit to the Auditor General an annual performance and management report of its operations and its financial statements for the preceding financial year.

ii, **Under LGA Sec 93 (3**) The Assembly shall make proper arrangements with respect to keeping any documents and notices which belong to or are in the custody of the Assembly or any of its officers.

Section 94 of the LGA (1998) has the following provisions with regard to inspection of documents:

Subsection (1); Provides that the minutes" of proceedings of a meeting of the Assembly shall be open to the inspection of any person and any such person may make a copy of or extract from the minutes.

Sub section (2); States that any person may inspect and make a copy of or extract from an order for the payment of money made by the Assembly.

Subsection (3); The accounts or abstracts of accounts of the Assembly shall be open to the inspection of any member of the Assembly or any other person and any such member or other person may make a copy of the extract from the accounts or abstracts of accounts therefrom, and copies thereof shall be delivered to any such person on payment of a reasonable sum for each copy.

Subsection (4); A document directed by this section to be open to inspection shall be so open upon payment of a reasonable sum during the Assembly's normal hours of business.

9.10 Financial Statements and Audits

i, Financial Statements

The PFMA, 107. 1 state that every controlling officer responsible for a vote shall, not later than 31st May each year, prepare and submit to the Secretary to the Treasury in accordance with section 26 and applicable Treasury Instructions, the financial statements for that vote for that financial year.

ii, Audits

According to LGA Sec 54 provides for audit of accounts for a Local Assembly as follows:

Subsection (1), The accounts of the Assembly shall be audited by the Auditor General or Audit of an auditor appointed by him.

Subsection (2) The Auditor General may carry out surprise audit, investigations or any other audit considered necessary.

Subsection (3) The Auditor General shall give his report of the audited accounts to- (a) the Minister; (b) the Local Government Finance Committee and (c) the Assembly.

Subsection (4) The Assembly shall have an Internal Audit Department.

9.11 Power of Minister on financial matters

Section 56 of LGA provides that the Minister may, after consultation with the Minister responsible for finance issue written instructions, not inconsistent with provisions of financial instructions for the better control and efficient management of the finances of the Assembly.

9.12 Access to records and information

v. **According to PFMA, 107.7,** the Minister shall cause the annual financial statements to be published in the Gazette and at least two newspapers of nationwide circulation in such summarized form as the Minister may determine.

vi. **PFMA Sec 10(1)** provides that the Secretary to the Treasury shall have free and full access to all accounts and records of controlling officers that relate, directly or indirectly;

vii. **LGA Sec 42** (1) states that the Assembly shall arrange for the publications within its area, of information related to local government, and shall make or assist in making arrangements whereby the public may readily obtain, either at premises specially maintained for the purpose or otherwise, information concerning the. services available within the area of the Assembly.

viii. **Subsection** (2) says that at the end of each financial year the Assembly shall publish an annual report of its work and of the local government affairs of- its area for the preceding financial year, and a copy of such report shall be;

(a) delivered to the Minister;

(b) deposited at every public Office of the Assembly and be made available for inspection free of charge by any interested person during normal hours of business; and

(c) supplied to any persons or to the press or other news media upon- application on payment of such fee, if any, as the Assembly may prescribe.

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